FROM: Francisco Rodriguez

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RE: Initiation of Coverage — BlackBerry Limited (NYSE: BB) | OVERWEIGHT | PT: $6.28

Rating	Price Target	Current Price	Upside	52-Wk Range
OVERWEIGHT	**$6.28**	**$5.50**	**+14.1%**	**$2.75 – $5.75**

EXECUTIVE SUMMARY

We initiate coverage of BlackBerry Limited (NYSE: BB) with an **OVERWEIGHT** rating and a **$6.28 price target**, representing 14.1% upside from the current price of $5.50. BlackBerry has completed its transformation into a pure-play enterprise software company — the sale of Cylance to Arctic Wolf (early 2025) removed the last legacy overhang and left two clean segments: IoT/QNX and Cybersecurity. Our thesis centers on QNX: the safety-certified real-time operating system embedded in 275 million vehicles is now expanding into the physical AI era through an April 20, 2026 collaboration with NVIDIA to integrate QNX OS for Safety 8.0 with NVIDIA IGX Thor — the reference compute platform for edge AI in robotics, medical devices, and industrial automation. Wall Street consensus stands at $4.84 (Hold), already below the current price and stale relative to the NVIDIA catalyst. Our blended 40% DCF + 60% segment comps methodology yields a $6.28 price target.

COMPANY OVERVIEW

Metric	Value
Ticker / Exchange	BB / NYSE
Market Capitalization	~$3.23B
Enterprise Value	~$3.00B
Cash / Convertible Notes	$432.4M / $200.0M (3.00% due Feb 2029)
Net Cash (Feb 28, 2026)	$232.4M
FY2026A Revenue	$549.1M (QNX: $268M | CySec: $281M)
FY2026A Adj EBITDA	$107.1M (19.5% margin)
FY2026A Free Cash Flow	$46.5M (up 3× YoY)
FY2027E Revenue Guidance	$584M–$611M (~+9% YoY)
QNX Royalty Backlog	$950M (as of FY2026A exit)
Vehicles Running QNX	275M+ globally
Fiscal Year End	February 28

BlackBerry's operating model is structurally different from how it is commonly perceived. The company is not a has-been hardware brand — it is a software royalty business. QNX earns a per-unit royalty from every automotive OEM and industrial manufacturer that ships a product running its safety-certified RTOS. With 275 million vehicles already in the field and new design wins at Mercedes-Benz, BMW, Volvo, Leapmotor, and defense contractor TKMS, the royalty stream is compounding. The cybersecurity segment (SecuSUITE, AtHoc, government communications) provides stable, recurring revenue from government and enterprise customers.

INVESTMENT THESIS

• QNX Is the Safety OS for the Physical AI Era

On April 20, 2026 at Hannover Messe, NVIDIA and QNX announced expanded collaboration to integrate QNX OS for Safety 8.0 with NVIDIA IGX Thor and the Halos Safety Stack. IGX Thor is NVIDIA's edge AI compute platform for regulated environments: humanoid robots, autonomous mobile robots (AMRs), surgical systems, and industrial automation. QNX provides the safety-critical RTOS layer (IEC 61508, ISO 26262, DO-178C certified) that NVIDIA's AI acceleration hardware requires to operate in regulated environments. Every physical AI system that needs safety certification becomes a potential QNX royalty unit. TAM expands from ~$19B automotive software (2023) to the full edge AI systems market — a multi-hundred-billion dollar opportunity over the next decade.

- **$950M Royalty Backlog = 2.5+ Years of Locked-In Revenue**

QNX's royalty model is fundamentally misunderstood by equity markets. OEMs commit to QNX at design-win stage — typically 3-5 years before vehicles enter production. The $950M royalty backlog represents OEM production commitments already awarded. Revenue is recognized when units ship, providing exceptional forward visibility that is rare among software companies at this market cap. FY2026A QNX revenue of $268M (+14% YoY) with a Q4 exit rate of $78.7M (+20% YoY, record quarter) puts the segment on a trajectory toward $315M+ in FY2027E. New wins (TKMS defense, Leapmotor EV OEM) extend backlog growth into non-automotive verticals.

- **Street Consensus Is Stale — Multiple Re-rating Is the Catalyst**

Wall Street consensus PT of $4.84 implies ~5.1× EV/FY2026A Revenue and ~26× EV/EBITDA — reasonable multiples for a mixed-segment company, but deeply wrong for QNX as a standalone asset. Pure-play safety-critical software companies (ANSYS, PTC, Palantir's government segment) trade at 8–15× forward revenue. Our segment comps assign QNX 8× FY2028E EV/Revenue ($2.97B) and CySec 3.5× FY2028E EV/Revenue ($1.02B). Discounted one year to today and adjusted for $232M of net cash, this yields a $6.61 comps-implied PT. Seven of seven analysts have Hold ratings, none of which reflect the NVIDIA partnership announced April 20. The multiple re-rating begins when analysts update.

- **FCF Inflection + Buyback Creates Institutional-Grade Downside Support**

FY2026A FCF of $46.5M represents 3× YoY improvement ($16.5M in FY2025). The company returned to GAAP profitability ($53.2M net income) — eliminating a structural barrier to institutional ownership. Management has repurchased 15.5M shares ($60M) since May 2025, with the program ongoing. At ~$3.2B market cap with $232M net cash and $46.5M of FCF growing toward $110M+ by FY2028E, the FCF yield will approach 3.5% on current market cap within two fiscal years. This combination of profitability, buybacks, and cash provides a durable floor for the stock.

FINANCIAL PROJECTIONS ($M)

	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
QNX Revenue	$268.0	$316.0	$371.0	$427.0	$476.9	$520.8
QNX Growth	+14.0%	+17.9%	+17.4%	+15.1%	+11.7%	+9.2%
CySec Revenue	$281.1	$285.0	$291.0	$297.1	$303.1	$306.1
CySec Growth	n/a	+1.4%	+2.1%	+2.1%	+2.0%	+1.0%
Total Revenue	$549.1	$601.0	$662.0	$724.1	$780.0	$826.9
Total Growth	n/a	+9.5%	+10.1%	+9.4%	+7.7%	+6.0%
Adj EBITDA	$107.1	$132.2	$165.5	$195.5	$226.2	$256.3
EBITDA Margin	19.5%	22.0%	25.0%	27.0%	29.0%	31.0%
EBIT	$65.1	$90.2	$125.5	$157.5	$189.2	$220.3
NOPAT	$48.8	$67.7	$94.1	$118.1	$141.9	$165.3
Unlevered FCF	$70.8	$86.7	$109.1	$130.1	$151.9	$174.3

FY2026A actuals from Q4 FY2026 earnings (April 8, 2026). FY2027E aligns with management guidance midpoint of $598M. UFCF = NOPAT + D&A – Capex – ΔNWC. FY2026A UFCF is modeled (reported FCF was $46.5M; difference reflects SBC add-back and timing items not in base model).

VALUATION — BLENDED DCF + SEGMENT COMPS

Component	Value	Detail
DCF — WACC	9.0%	RF 4.5% + ERP 5.5% × β 0.82; no size premium
DCF — Exit Multiple	16.0× EBITDA	FY2031E EBITDA $256.3M × 16× = $4,101M TV
Sum PV of FCFs	$492.7M	FY2027E–FY2031E discounted at 9.0%
PV of Terminal Value	$2,666M	$4,101M / 1.09^5
Enterprise Value (DCF)	$3,158M	Sum PV FCFs + PV TV
+ Cash – Convertible	$232M	$432M cash – $200M notes (Feb 28, 2026)
Equity Value (DCF)	$3,391M	EV + net cash
DCF Price Target	$5.77	$3,391M / 588M shares
QNX Segment EV (Comps)	$2,968M	FY2028E $371M × 8.0× EV/Rev
CySec Segment EV	$1,019M	FY2028E $291M × 3.5× EV/Rev
Segment EV — PV	$3,657M	Discounted 1 yr at 9.0%
Equity Value (Comps)	$3,889M	PV segment EV + net cash
Comps Price Target	$6.61	$3,889M / 588M shares
Blended Price Target ★	**$6.28**	**40% × $5.77 + 60% × $6.61**

QNX EV/Rev multiple of 8× is a discount to comparable safety-critical software peers (PTC, ANSYS). CySec at 3.5× reflects stable but slower-growth government comms software. Blended weights: 40% DCF / 60% Comps. The $200M convertible is treated as debt (conversion price well above current share price).

SENSITIVITY — DCF PRICE TARGET (WACC × EXIT EV/EBITDA MULTIPLE)

VACC \ Exit →	10×	12×	14×	16× ★	18×	20×	22×
7.5%	$4.31	$4.91	$5.52	$6.13	$6.74	$7.34	$7.95
8.0%	$4.23	$4.82	$5.41	$6.01	$6.60	$7.19	$7.79
8.5%	$4.14	$4.72	$5.30	$5.88	$6.46	$7.04	$7.62
9.0% ★	$4.07	$4.63	$5.20	$5.77	$6.33	$6.90	$7.47
9.5%	$3.99	$4.54	$5.10	$5.65	$6.21	$6.76	$7.31
10.0%	$3.92	$4.46	$5.00	$5.54	$6.08	$6.62	$7.16
10.5%	$3.84	$4.37	$4.90	$5.43	$5.96	$6.49	$7.02
11.0%	$3.77	$4.29	$4.81	$5.33	$5.84	$6.36	$6.88

★ Base case: 9.0% WACC, 16× exit EV/EBITDA → $5.77/share DCF (net of the convertible). Current price $5.50. Blended PT ($6.28) adds the comps component (40%/60% weighting). Every cell is read from the live Sensitivity tab.

KEY RISKS & MITIGANTS

- **QNX Competitive Risk — MEDIUM**

  Wind River (part of Aptiv) and Green Hills Software INTEGRITY OS compete directly with QNX. Microsoft Azure RTOS and QNX are increasingly evaluated by the same hyperscalers. However, QNX has the deepest safety certifications (ASIL-D, IEC 61508 SIL 3, DO-178C DAL-A) and the largest existing automotive install base — switching costs after design-win are prohibitively high (10-15 year platform cycles). The NVIDIA partnership further entrenches QNX as the default safety layer for Nvidia-based edge AI systems.

- **Cybersecurity Segment Secular Decline Risk — LOW-MEDIUM**

  Post-Cylance sale, the CySec segment ($281M FY2026A) is primarily SecuSUITE and AtHoc — government-grade encrypted communications. These are sticky (multi-year government contracts) but represent a slow-growth or flat market. Our model assumes 1-2% annual growth. Downside scenario: segment revenues flat to down 3-5% as government contracts lapse without renewal. Mitigant: at 3.5× EV/Revenue, the downside impact on blended PT is limited.

- **QNX Royalty Backlog Conversion Risk — LOW**

  The $950M backlog represents committed OEM production volumes, but vehicle production schedules can shift due to macro downturns, supply chain disruptions, or EV demand softness. A 20% backlog haircut reduces our FY2027E-FY2029E QNX revenue forecasts by ~$50-75M, implying a ~$0.50-0.80 reduction in DCF price target. The backlog being spread across European (Mercedes, BMW, Volvo), Asian (Leapmotor), and defense customers (TKMS) diversifies concentration risk.

- **Multiple Contraction Risk — MEDIUM**

  Our 8× FY2028E EV/Revenue multiple for QNX assumes re-rating toward pure-play software peers. If the market continues to apply a software/hardware blended multiple (~5×), the blended PT falls to ~$5.23–$5.58 (5–6× QNX). However, the DCF component ($5.77) provides a fundamental floor that is less sensitive to multiple sentiment.

RECOMMENDATION

We initiate coverage of BlackBerry Limited (NYSE: BB) with an **OVERWEIGHT** rating and a **$6.28 twelve-month price target** (+14.1% upside). The thesis is straightforward: QNX is the safety OS layer for physical AI — a structural role that Wall Street has not yet priced into a stock trading at 5× enterprise revenue. The NVIDIA collaboration announced April 20, 2026 is a genuine re-rating catalyst that expands QNX's TAM from automotive software into the entire edge AI systems market. FY2026A FCF of $46.5M and GAAP profitability have removed the last institutional ownership barriers. Net cash of $232M (after the $200M convertible) is 7% of market cap. We recommend initiating a position at current levels ($5.50) with a 12-month price target of $6.28. Key catalysts: Q1 FY2027 earnings (May/June 2026 — first print with NVIDIA partnership in force), new QNX edge AI design win announcements, and analyst PT revisions off the stale $4.84 consensus.

This note is prepared for internal discussion purposes only. All projections are illustrative and based on publicly available information. Past performance is not indicative of future results. | Francisco Rodriguez | Financial Modeling Portfolio | github.com/Azyo1 | April 2026 (revised Oct 2026: convertible notes added to equity bridge)